TOPIC 02 · VALUE CREATION

Value Creation: Environment and Competitive Advantage

Business objectives and stakeholders, strategic decisions, the generic and specific environment with Porter's five forces, corporate and business strategy, sources of competitive advantage, diversification and the value chain.

Source: Universidad Carlos III de Madrid · Topic 2_ Value creation.pdf (Prof. Carmen Paz-Aparicio), Slides 1-31

OFFICIAL MATERIAL `Topic 2 Value creation.pdf` `W2 Business Environment.pdf`

Central idea: the objective of the firm evolves from the classical **profit maximization** to **creating value** for the enterprise, as the result of a negotiation among its **stakeholders**. To reach that objective the firm defines a **strategy**: it analyses its **environment** (generic factors and the specific, industry environment with **Porter's five forces**), decides **where to compete** (corporate strategy: product, geographical and vertical scope) and **how to compete** (business strategy: **cost advantage** or **differentiation**), and examines its own activities with **Porter's value chain**.

This note follows the official deck slide by slide. Every statement is taken from the slides; when the note explains a slide, it only unpacks the slide's own words and diagrams. Citations such as [Slide 5] open the PDF on that slide.

Contents of the topic [Slide 2]: (1) business objectives: (a) the traditional concept, profit maximization; (b) the emergence of new objectives and the role of stakeholders; (2) business strategies and types; (3) generic and specific environment.

§ 1 The traditional concept: profit maximization [Slide 3]

In the traditional concept, the **business objective** = **the entrepreneur's objective**. As per the **Classical Theory**, the business objective is **profit maximization**.

The slide lists four **limitations** of this view:

- **the term profit is difficult to define and quantify** (which profit: of this year, of the next years?);
- **it does not take into account the risk** associated with the achievement of profits (two projects with the same expected profit are not equally good if one is much riskier);
- **the concept of maximization** itself (it is not obvious that a firm can or does maximize);
- **the excessive leading role of the entrepreneur**: in large firms there is a **separation of ownership and control** (Topic 1), so the "entrepreneur's objective" is no longer the objective of one person.

§ 2 Management and objectives [Slide 4]

Because of the separation of ownership and control, the firm has to **avoid the conflict of interests** between managers and shareholders: it must **align management and shareholder objectives**. How? The slide gives four mechanisms:

- **incentive compensation** (the manager's pay depends on results);
- the **market of enterprises** (the market where firms themselves are bought and sold);
- the **labour market** (the market for managers);
- the **markets of the factors of production**.

The conclusion of the slide: **management will try to maximize their own interests, always with the limitation of achieving a minimum level of profit in order to satisfy shareholders**.

§ 3 The role of stakeholders in the definition of objectives [Slides 5-6]

3.1 Who the stakeholders are [Slide 5]

The slide places **management** at the centre, surrounded by the stakeholders:

- **shareholders**;
- **banks and other financial agents**;
- **customers**;
- **suppliers**;
- the **State**;
- **employees / labour unions**;
- **society** (corporate social responsibility, CSR).

3.2 Organizational theory [Slide 6]

According to **organizational theory**, the business objectives are the **outcome of a negotiation process between the different stakeholders**, limited by:

- the **survival goal** (no objective is acceptable if it endangers the firm's survival);
- the fact that **not all the groups have the same decision-making power**.

`BUSINESS OBJECTIVE UNDER ORGANIZATIONAL THEORY [SLIDE 6]`
The business objective is **the one that satisfies the group with higher bargaining power, taking into account the objectives of the rest of the groups and the survival of the enterprise**. The resulting objective is to **maximize the value of the enterprise: CREATE VALUE**.

§ 4 A unified vision: survival, profit and growth [Slide 7]

The slide draws a cycle that links the three goals:

- **Products/markets** (current and new) generate **sales**, and sales generate **profits**.
- Part of the profits are **retained profits**, kept **for future investments**; they add to **total equity**.
- The rest are paid as **dividends**; dividends support the **capital market valuation of the company**, and that valuation becomes the **equity attributable to investors**, which also feeds **total equity**.
- Total equity finances **investments**, and investments create new or better **products/markets**, so the cycle starts again.

Reading the cycle: **profit** comes from selling products; **growth** comes from reinvesting (retained profits and the capital attracted by a good market valuation) in new products and markets; **survival** is the cycle continuing.

§ 5 Business strategies: strategic, tactic and operative decisions [Slide 8]

To **achieve the business objective** the firm must **define a strategy**. Defining a strategy produces three levels of decisions, drawn as a chain: **strategic decisions → tactic decisions → operative decisions**.

`STRATEGY [SLIDE 8]`
"A plan, method or series of actions designed to achieve a specific goal or effect" (Wordsmyth Dictionary).

§ 6 Types of strategic decisions [Slide 9]

The slide repeats the chain of [Slide 8] and opens the **strategic decisions** into two families:

Family	Decision	Dimension
Corporate strategy	Product scope	Diversification
	Geographical scope	Internationalization
	Vertical scope	Vertical integration
Competitive or business strategy	Cost-leadership strategy	
	Differentiation strategy	

The rest of the deck develops both families (§13-§19).

§ 7 What makes a successful strategy? [Slide 10]

A **successful strategy** rests on **effective implementation** of three pillars:

- **long-term, simple and agreed objectives**;
- **deep understanding of the competitive environment**;
- **objective appraisal of resources**.

The second pillar leads to the analysis of the environment (§8-§11); the third leads to the analysis of the firm's own activities (the value chain, §20).

§ 8 The generic environment [Slide 11]

The **business environment** has two layers. The outer layer, the **generic environment**, contains four groups of factors that affect every firm:

Factor	Items on the slide
Economic factors	Macroeconomic variables; business cycle period; type of economic policy; country resources
Political-legal factors	Monetary and fiscal policies; labour market regulation; industry regulation
Socio-cultural factors	Value system; level of education; class structure; income distribution; population distribution; etc.
Technological factors	Basic technologies; key technologies; incipient technologies

§ 9 The specific environment [Slide 12]

The inner layer, the **specific environment**, is the one of the firm's own industry. Its elements on the slide are:

- **rivalry within the industry**, which depends on **concentration**, the **industry rate of growth** and **product differentiation**;
- **barriers to entry**;
- **barriers to exit**;
- **substitutes**;
- **relationship with customers**;
- **relationship with suppliers**.

§ 10 From environmental analysis to industry analysis [Slide 13]

The slide puts **the industry environment** (suppliers, competitors, customers) in a box at the centre, surrounded by six elements of the wider environment that act on it:

- the national/international economy;
- technology;
- government and politics;
- the natural environment;
- demographic structure;
- social structure.

The message: the analysis goes **from the outside in**, from the general environment to the industry in which the firm actually competes.

§ 11 Porter's five competitive forces [Slides 14-15]

11.1 The five forces [Slide 14]

The industry analysis is organised with **Porter's five competitive forces (Porter, 1982)**. At the centre are the **industry competitors** and the **rivalry among existing firms**; around them act four more forces:

- **suppliers**: **bargaining power of suppliers**;
- **buyers**: **bargaining power of buyers**;
- **potential entrants**: **threat of new entrants**;
- **substitutes**: **threat of substitutes**.

The stronger the five forces, the harder it is for the firms in the industry to earn a high rate of profit (this links with the "rate of profit above the competitive level" of [Slide 17]).

11.2 The determinants of each force [Slide 15]

Force	Determinants on the slide
Supplier power	Suppliers' price sensitivity; relative bargaining power
Threat of entry	Capital requirements; economies of scale; absolute cost advantage; product differentiation; access to distribution channels; legal/regulatory barriers
Industry rivalry	Concentration; diversity of competitors; product differentiation; excess capacity and exit barriers; cost conditions
Substitute competition	Buyers' propensity to substitute; relative prices and performance of substitutes
Buyer power	Buyers' price sensitivity; relative bargaining power

Notice how the determinants of the **threat of entry** are the **barriers to entry** of [Slide 12]: high capital requirements or strong economies of scale keep new entrants out.

§ 12 The strategic management process [Slide 16]

The process has five steps, in this order:

1. **Mission statement**;
2. **Performance objectives**;
3. **Develop strategies**;
4. **Strategy implementation**;
5. **Evaluation of performance**.

§ 13 Corporate strategy and business strategy [Slides 17-18]

13.1 Two questions [Slide 17]

The goal of strategy is a **rate of profit above the competitive level**, which answers the question "**how do we make money?**". Two sources feed that profit:

- **industry attractiveness**: "**which businesses should we be in?**" This is the **corporate strategy**;
- **competitive advantage**: "**how should we compete?**" This is the **business strategy**.

13.2 Definitions [Slide 18]

- **Business strategy** is concerned with **how a firm competes within a particular market**.
- **Corporate strategy** is concerned with **where a firm competes**, i.e. the **scope of its activities**.
- The **dimensions of scope** are **geographical scope**, **vertical scope** and **product scope**.

§ 14 The three dimensions of scope [Slide 19]

The slide (taken from Grant, 2002, *Contemporary Strategy Analysis*) compares a **single integrated firm** with **several specialized firms** along each dimension, and illustrates them with one example each:

- **Vertical scope** (units V_1, V_2, V_3): three independent companies, one producing steel, the next rolling the steel into sheet, and the third producing steel cans, **or** all three stages of production within a single company?
- **Geographical scope** (units G_1, G_2, G_3): three independent companies producing cans in the US, UK and Italy, **or** a single multinational company owning and operating the can-making plants in all three countries?
- **Product scope** (units P_1, P_2, P_3): should metal cans, plastic packaging and domestic appliances be produced by three separate companies, **or** are there efficiencies to be gained by merging all three into a single company?

The caption of the diagram explains the difference: in the **integrated firm** there is an **administrative interface** between the different vertical units (V), product units (P) and country units (G); where there is **specialization**, each unit is a **separate firm linked by market interfaces**. So the scope decision is a choice between coordinating by administration (inside one firm) or by the market, which is the market/enterprise choice of Topic 1.

§ 15 Business strategy: sources of competitive advantage [Slides 20-22]

15.1 Two sources [Slide 20]

Cost advantage	Differentiation advantage
Similar product at lower cost	Price premium from unique product

Both create a margin above competitors: the first by spending less for the same product, the second by charging more for a product that customers value as unique.

15.2 Drivers of cost advantage [Slides 21-22]

Driver	How it lowers cost (items on the slide)
Economies of learning [Slide 21]	Improved organizational routines
Economies of scale [Slide 21]	Specialization and division of labour
Production techniques [Slide 21]	Process innovation; reengineering business processes
Product design [Slide 21]	Standardizing designs and components; design for manufacture
Input costs [Slide 22]	Location advantages; ownership of low-cost inputs; non-union labour; bargaining power
Capacity utilization [Slide 22]	Ratio of fixed-to-variable costs; speed of capacity adjustment
Residual efficiency [Slide 22]	Organizational slack; motivation and culture; managerial efficiency

§ 16 Differentiation [Slides 23-24]

16.1 Definition [Slide 23]

Differentiation is concerned with **how a firm distinguishes its offerings from those of its competitors** (i.e. how the firm competes).

> PORTER'S DEFINITION [SLIDE 23]
> Differentiation is "providing something unique that is valuable to the buyer beyond simply offering a low price" (M. Porter). **The key is to create value for the customer.**

16.2 Tangible and intangible differentiation [Slide 24]

- **Tangible differentiation**: observable product characteristics: size, colour, materials, etc.; performance; packaging; complementary services.
- **Intangible differentiation**: unobservable and subjective characteristics that appeal to the customer's image, status, identity and desire for exclusivity.

Total customer responsiveness: differentiation is **not just about the product**; it embraces the **whole relationship between the supplier and the customer**.

§ 17 Corporate strategy: diversification [Slide 25]

Diversification decisions involve **two issues**:

- **how attractive is the sector to be entered?** (industry attractiveness, §13.1);
- **can the firm achieve a competitive advantage** there? (§15-§16).

Reasons for diversifying:

Reason	Explanation on the slide
Growth	The desire to escape from declining industries (e.g. tobacco, oil, newspapers)
Risk	Diversification reduces earnings volatility
Profit	Bringing together different businesses may increase profitability

§ 18 Types of diversification [Slide 26]

- **Related diversification**: when a business **expands its existing** product lines or markets.
- **Unrelated diversification**: when a business adds **new, or unrelated**, product lines or markets.

Diversification forms:

- **vertical integration**: along your value chain;
- **horizontal diversification**: moving into a new industry;
- **geographical diversification**: opening new markets.

§ 19 Vertical integration [Slide 27]

Vertical integration can be **forward** or **backward**.

Advantages	Disadvantages
Inputs/outputs control	Increased risk (outsourcing)
Reduction of transaction costs	Decreased flexibility
Independency	Loss of specialization advantages
Better competitive position	Increased administrative costs
Reduce information asymmetries	

Compare with [Slide 19]: integrating replaces market interfaces by administrative ones, which **reduces transaction costs** with suppliers or customers but **increases administrative costs** and loses the advantages of specialized firms.

§ 20 Porter's value chain [Slides 28-31]

20.1 The idea [Slide 28]

- The term **value chain** was used by **Michael Porter (1985)**.
- Organizations are **more than the random compilation of resources**: they are an **arrangement of the resources into systems and activities** that result in products which **customers are willing to pay for**.
- **Management of these activities and their linkages** gives an organization **competitive advantage**.

20.2 The diagram [Slide 29]

The diagram has two layers of activities ending in an arrow-head labelled **margin**:

- **support activities** (top rows): firm infrastructure, human resources, technology development, procurement;
- **primary activities** (bottom columns): inbound logistics, operations, outbound logistics, marketing and sales, service.

The margin at the tip of the arrow is the reward of the whole chain: what customers pay for the product beyond what it costs to carry out all these activities.

20.3 Primary activities [Slide 30]

Activity	Definition (Porter, 1985)
Inbound logistics	Involve relationships with suppliers and include all the activities required to receive, store and disseminate inputs
Operations	All the activities required to transform inputs into outputs (products and services)
Outbound logistics	All the activities required to collect, store and distribute the output
Marketing and sales	Activities that inform buyers about products and services, induce buyers to purchase them, and facilitate their purchase
Service	All the activities required to keep the product or service working effectively for the buyer after it is sold and delivered

20.4 Secondary (support) activities [Slide 31]

Activity	Definition
Procurement	The acquisition of inputs, or resources, for the firm
Human resource management	All activities involved in recruiting, hiring, training, developing, compensating and (if necessary) dismissing or laying off personnel
Technological development	The equipment, hardware, software, procedures and technical knowledge brought to bear in the firm's transformation of inputs into outputs
Infrastructure	Serves the company's needs and ties its various parts together; it consists of functions or departments such as accounting, legal, finance, planning, public affairs, government relations, quality assurance and general management

Reference given on the slide: Porter, M. E., *Competitive Advantage*, 1985, Ch. 1, pp. 11-15, The Free Press, New York. The slide also links a video on the value chain.

Study notes written from the official course material (Topic 2 Value creation.pdf; W2 Business Environment.pdf).
Online version: subjects/business-management/teoria/topic-2.html